TEACHER GUIDE

Cambridge IGCSE Business (0450 / 0264)

# Promotion

3 Marketing
**3.3 Marketing mix: promotion**



A revision lesson. Pupils run a car dealership in firms of four and revise promotion on their own deals. Seat each firm together. Each firm answers the topic tasks together.

## The lesson

**45-minute setting**

| Setup | Round 1 | Round 2 | Round 3 | Final questions |
|---|---|---|---|---|

### EVERY ROUND

**Firm decisions**
3 min

→

**Deals**
4½–5 min

→

**Topic tasks**
4 min

→

**B2B deal**
2½ min
from Round 2

### LESSON SETTINGS

| 30 min | 45 min | 60 min | 75 min |
|---|---|---|---|

# What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



## CEO

**Staff · Sabotage** from Round 2



## Finance

**Capital & Loans · Investments**



## Sales & Marketing

**Marketing**



## Operations

**Seasonal stock**

# Topic tasks

Each firm gets its own figures. The method is the same.

## 1 Profit from the ad

Round 1

An advert for these cars.

**Profit from the advert? Minus allowed.**

| | |
|---|---|
| The advert costs | **£1,500** |
| Extra sales from it | **5 cars** |
| Margin per car | **£1,400** |

**ANSWER**

**£5,500**

5 × £1,400 − £1,500 = £5,500

**Why:** 5 extra cars bring £7,000 for a £1,500 advert.

## 2 Was the ad worth it

Round 1

You ran a local radio advert last month.

**Which two show it was worth the cost?**

A The advert won an award
B It cost less than last year's
C More people heard it
D Extra profit above its cost
E Sales it brought from new buyers

**ANSWER**

**✓ Extra profit above its cost**
**✓ Sales it brought from new buyers**

**Why:** An advert pays when its extra sales earn more than it cost.

## 3 Rank cost per sale

Round 2

Three adverts: what each cost, and the sales it brought.

**Order by cost per sale, cheapest first?**

A Paper: £600, 4 sales
B Radio: £1,500, 6 sales
C Social: £800, 8 sales

**ANSWER**

**1. Social: £800, 8 sales**
**2. Paper: £600, 4 sales**
**3. Radio: £1,500, 6 sales**

**Why:** Cost ÷ sales: £100, £150, £250. The cheapest advert is not the best value.

# Topic tasks

## 4 More profitable ad

Round 2

Pick one of two adverts.

**Profit from the more profitable advert?**

| | |
|---|---|
| Radio advert, 4 extra cars | **£3,000** |
| Social advert, 5 extra cars | **£1,500** |
| Margin per car | **£1,900** |

**ANSWER**

**£8,000**

**Radio £4,600, social £8,000: £8,000**

**Why:** The cheaper advert is not always the better one.

## 5 TV or trade paper

Round 3

A TV advert reaches 50,000 people for £2,000. A trade paper reaches 5,000 local car buyers for £800.

**Which advert should you pick, and why?**

**A** The TV advert

**B** The trade paper

**ANSWER**

**✔ The trade paper**

**Why:** The paper reaches the people who buy from you, at less cost.

## 6 Which advert pays

Round 3

Pick one of two adverts.

**Profit from the more profitable advert?**

| | |
|---|---|
| Radio advert, 24 enquiries | **£1,250** |
| Social advert, 20 enquiries | **£2,250** |
| Enquiries that buy | **NaN el** |
| Margin per car | **£1,800** |

**ANSWER**

**£9,550**

**Radio 6 × £1,800 − £1,250 = £9,550; social £6,750**

**Why:** Enquiries are not sales: count the cars that sell.

# Final questions

Each pupil answers 6 final questions on promotion. They come from these 11 questions.

1 A small dealer wants to reach nearby customers who are actively searching online for a used car. Which promotional choice is most precisely targeted?
✔ **A local search advert linked to live vehicle stock**

2 Which is a sales promotion rather than long-term advertising?
✔ **A two-week free MOT offer**

3 Does an online advert send people to the booking page? Which measure is most direct?
✔ **The number of advert clicks to the page**

4 The Sales lead promotes a specialist wheelchair-accessible vehicle to a narrow professional and user audience. Which channel is most suitable?
✔ **Targeted mobility trade and community channels used by that audience**

5 Promotion tells customers what a business sells and persuades them to buy. A dealer wants local trades who do not know it to learn it services vans. Which suits best?
✔ **An advert in a local trade magazine van operators read**

6 A small used-car dealer wants to reach local buyers cheaply. Which promotion method fits best?
✔ **Posts and adverts on local social media**

7 A dealer offers £200 off any car bought this weekend. Which type of promotion is this?
✔ **A sales promotion**

8 Why might a dealer advertise on a local radio station rather than on national television?
✔ **It reaches the local target market at lower cost**

9 Which of these is a sales promotion for a car dealer?
✔ **A free first service with every car sold**

10 A small used-car dealer wants to reach buyers in its own town on a small budget. Which advertising method suits it best?
✔ **Local social media adverts**

11 What is the main aim of a dealer's promotion?
✔ **To tell customers about its cars and persuade them to buy**